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A few final points on alternatives.

Unlike ETFs and mutual funds, alternative investments are private funds with accredited limited partners—mainly wealthy investors and institutions. They do not have mandatory SEC reporting requirements and are not legally obligated to disclose their performance publicly. Unlike public investments, alternative investments are free to keep their track records private.

Survivorship bias is inherent in whatever reported results you see for alts. Any fund that is underperforming can simply choose to skip reporting that quarter or year. Funds doing poorly are missing from the aggregate results.^{[435](#)}

Like everything else, Sturgeon’s Law—90% of everything is crap—applies to the universe of alts. A small number of alpha generators and a lot of expensive under-performers. If you have a billion dollars and you’re well connected, or someone you know can make a phone call on your behalf to get you into the top decile of alternatives, then great (lucky you!). But most of us don’t have that access, and the ones you can get into easily tend not to be the top-performing funds.

I’m reminded of the words of the great Groucho Marx, who wrote in his autobiography, “*I don’t want to be a member of any club that would have me.*”^{[436](#)} Who knew that one of the Marx Brothers was an alternative investing genius?

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Next, we look at the spending scolds you will encounter when spending your hard-earned dollars. And some smarter ways to spend your money.

^{[427](#)} If you want to get more granular, we can include impact funds, managed commodity futures, real estate holdings, and nonpublic debt instruments.

^{[428](#)} “Hedge fund market to reach \$13tn globally by 2032,” *Hedgeweek* (March 21, 2024).

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